Great EduScholar *(Plan Code: 0418 & 0427)*

Plan Name : Great EduScholar (EDM-GES20, EDM-GES21)
Plan Code : 0418 and 0427
Launch Date : 2 May 2013

PLAN DESCRIPTIONS

1. This is an education endowment plan with immediate participation in profits. It offers a combination of protection and savings benefits.
2. Policyholder will be entitled to the tax relief for education and health insurance, provided the Payer Benefit Rider (U8) or Payer Benefit Extra Rider (U96) is attached to the policy and the payer rider term is the same as the premium payment term of the basic plan.
3. This is a limited pay plan with policy coverage term up to age 20 or 21 years next birthday.
4. This plan is not subject to Good and Services Tax ("GST").

PLAN BENEFITS

a. Death Benefit

In the event of death of the Life Assured within the policy term, the following will be payable in one lump sum.

i. Basic sum assured; and
ii. Additional sum assured, if any; and
iii. Accumulated survival benefits, if any; and
iv. Cash bonus (including accumulated cash bonus), if any; and
v. Terminal bonus on death, if any

Child lien is applicable for death of child starting from the 30 days after the child's birth but before the child's age 5 years next birthday. The following percentage of Basic Sum Assured are payable.

Age next birthday	Death Benefit after Lien
1	20% of the Total Sum Assured
2	40% of the Total Sum Assured
3	60% of the Total Sum Assured
4	80% of the Total Sum Assured

Total Sum Assured = Basic sum assured + Additional sum assured

Full life cover will be given from age 5 years next birthday.

b. Total & Permanent Disability (TPD)

Upon TPD of the Life Assured within the policy term, the Company will advance the death benefit, subject to the following conditions:-

- All future premiums will be waived up to a maximum sum assured of RM2,000,000;
- The basic sum assured not exceeding RM1,000,000* shall be advanced in one lump sum; and
- The basic sum assured exceeding RM1,000,000*, if any, but not exceeding RM2,000,000*, will be paid in two equal annual payments.

**Applicable on this policy and other policies (if any) on the same life within the Agency distribution channel.*

In addition, accumulated survival benefit (if any) and cash bonus (if any) will be payable in one lump sum whereas additional sum assured (if any) and terminal bonus on TPD (if any) shall be advance proportionately in the same manner as the basic sum assured.

The maximum TPD Benefit payable under this and all policies and riders on the same life is RM2,000,000 per life. This limit shall exclude the TPD benefit payable under the Mortgage Decreasing Term Policy without Profits (with TPD Benefit), Enhanced TPD Rider, Term Policy (without Profits) with TPD Benefits and any future coverage by any other name or description, which will be introduced by the Company from time to time.

An overall TPD limit of RM 3,500,000 (including additional sum assured) shall apply on any one life across all distribution channels.

Upon TPD of Life Assured below age 5 years next birthday, the child lien (as per Death Benefit) shall apply. Under such circumstance, the aggregate amount of basic sum assured payable shall not exceed RM500,000 (including additional sum assured) for any one life across all distribution channels.

c. Accidental Death Benefit

Upon accidental death of the Life Assured within the policy term, the Company will pay an additional amount of 100% of the total of basic sum assured and any applicable additional sum assured, up to a maximum of RM500,000 under this plan.

This payment is further subject to an overall limit of:

- RM1,500,000 if the Life Assured is covered under other policies or riders which provide purchasable or complimentary accidental death benefits for any one life; or
- RM2,000,000 (inclusive of purchasable accidental rider) if the Life Assured is also covered under similar plans (existing and any future similar products) with Accidental Death Benefit.

In the event of accidental death of the life assured occurring before age 5 years next birthday, a child lien (as per Death Benefit) shall apply.

d. Additional Sum Assured

An additional percentage of basic sum assured will be payable upon occurrence of the following event:

- death of the life assured; or
- TPD of the life assured within the policy term;

whichever occurs first.

The scale of Additional Sum Assured is as follows: -

Policy Year	Additional Sum Assured (% of Basic Sum Assured)
1	0%
2	10.0%
3	20.0%
4	30.0%
5	40.0%
6	50.0%
7	60.0%
8	70.0%
9 onwards	80.0%

A child lien shall apply for death or TPD of a child who is below age 5 years next birthday

e. Survival Benefit

Upon survival of the Life Assured, a percentage (%) of the basic sum assured will be payable as shown in the table below, until death, TPD, surrender or maturity of the policy, whichever occurs first.

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Plan Code: 0418

Survival Benefit Table - Maturity at age 20 years next birthday

Entry Age Next Birthday	Survival Benefits (% of Basic Sum Assured)														
	End of Policy Year														
	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19
1							5%			5%	5%	50%	50%	50%	50%
2						5%			5%	5%	50%	50%	50%	50%	
3					5%			5%	5%	50%	50%	50%	50%		
4				5%			5%	5%	50%	50%	50%	50%			
5			5%			5%	5%	50%	50%	50%	50%				
6		5%			5%	5%	50%	50%	50%	50%					
7	5%			5%	5%	50%	50%	50%	50%						

Plan Code: 0427

Survival Benefit Table - Maturity at age 21 years next birthday

Entry Age Next Birthday	Survival Benefits (% of Basic Sum Assured)																
	End of Policy Year																
	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20
1								5%			5%		5%	50%	50%	50%	50%
2							5%			5%		5%	50%	50%	50%	50%	
3						5%			5%		5%	50%	50%	50%	50%		
4					5%			5%		5%	50%	50%	50%	50%			
5				5%			5%		5%	50%	50%	50%	50%				
6			5%			5%		5%	50%	50%	50%	50%					
7		5%			5%		5%	50%	50%	50%	50%						
8	5%			5%		5%	50%	50%	50%	50%							

Note: The Survival Benefit is payable provided that the premium is paid
GUARANTEED = Minimum you will receive regardless of the Company investment performance.
The illustrations show the possible level of benefits you may expect on two investment scenarios.
1. SCENARIO A = Assumes the participating fund earns 5.80% every year and cash bonuses left with the Company, if applicable, accumulate at 5% per year.
2. SCENARIO B = Assumes the participating fund earns 3.80% every year and cash bonuses left with the Company, if applicable, accumulate at 3% per year.

Three options pertaining Survival Benefit are available:

Option 1: To receive each survival benefit / cash bonus, if any, when it is payable, with authority to the Company to first utilise the survival benefits to pay any Automatic Premium Loan and/or Cash Loan before paying the remaining balance, if any, to You.

Option 2: To apply the survival benefits / cash bonuses, if any, when it is payable**,** to pay any Automatic Premium Loan, Cash Loan and/or any premium due until all the survival benefits / cash bonuses, if any, are exhausted. Any balance remaining will be left on deposit with the Company.

Option 3: To leave all survival benefits / cash bonuses, if any, on deposit with the Company. However, if the Total Indebtedness exceeds the surrender value (excluding bonuses, if any) of the policy at any time, this option shall automatically be changed to Option 2.

Note:
- Total Indebtedness means the total amount of any Automatic Premium Loan, Cash Loan, all overdue interests and/or premium due.
- There is no illustration available for Option 2 in Great Eastern Life Sales Illustration System (GELSIS).
- If Option 2 is to be selected at proposal, upon policy in force, GELSIS will print Option 1 for illustration purpose.

f. Cash Bonus (Non Guaranteed)

The cash bonus that would be declared may be more or less, depending on the operating and investment results experienced by the Company. Any cash bonus declared for the first and second policy years shall vest and be payable only after the policy has been inforce for 2 full years.

Policy Year	Cash Bonus (% of Basic Sum Assured)	
	@ Scenario A	@ Scenario B
Starting from the end of year 1, throughout the policy term	1.8%	0.9%

Since cash bonus may vary depending on Company investment and operating performance, the illustrations show the possible level of benefits you may expect on two investment scenarios.
1. SCENARIO A = Assumes the participating fund earns 5.80% every year and cash bonuses left with the Company, if applicable, accumulate at 5% per year.
2. SCENARIO B = Assumes the participating fund earns 3.80% every year and cash bonuses left with the Company, if applicable, accumulate at 3% per year.

In GELSIS, if choose Option 3 – Cash Bonus accumulates in the Company until maturity: -
Scenario A illustrates Cash Bonus paying 1.8% and accumulates at 5% p.a.
Scenario B illustrates Cash Bonus paying 0.9% and accumulates at 3% p.a.

Three options pertaining Cash Bonus are available:

Option 1: To receive each survival benefit / cash bonus, if any, when it is payable, with authority to the Company to first utilise the survival benefits to pay any Automatic Premium Loan and/or Cash Loan before paying the remaining balance, if any, to You.

Option 2: To apply the survival benefits / cash bonuses, if any, when it is payable**,** to pay any Automatic Premium Loan, Cash Loan and/or any premium due until all the survival benefits / cash bonuses, if any, are exhausted. Any balance remaining will be left on deposit with the Company.

Option 3: To leave all survival benefits / cash bonuses, if any, on deposit with the Company. However, if the Total Indebtedness exceeds the surrender value (excluding bonuses, if any) of the policy at any time, this option shall automatically be changed to Option 2.

Notes:
- Total Indebtedness means the total amount of any Automatic Premium Loan, Cash Loan, all overdue interests and/or premium due.
- There's no illustration available for Option 2 in Great Eastern Life Sales Illustration System (GELSIS)
- If Option 2 is to be selected at proposal, upon policy in force, GELSIS will print Option 1 for illustration purpose

g. Terminal Bonus (Non Guaranteed)

The terminal bonuses are non-guaranteed. It will be payable upon one of the following conditions: -
(a) Death or TPD of the life assured; or
(b) Surrender of the policy; or
(c) Maturity of the policy

h. Maturity

Upon survival of the Life Assured to the maturity date of policy, the Company will pay the following in one lump sum.

- Survival benefit for the final year; and
- accumulated survival benefit, if any; and
- Cash bonus (including any accumulated cash bonus), if any; and
- Terminal bonus on maturity, if any

i. Scholarship

In the event the Life Assured is being offered a place in any one of the top 5 universities in the world for any undergraduate course, the Company will provide a scholarship for that undergraduate course to the Life Assured. Please refer to the table below for further details:

Courses	Any course offered by the top 5 universities (stated below)
University	Top 5 universities in the world (at the time of application), based on Times Higher Education World University Rankings or any ranking system which is determined by the Company at the time of application.
Requirements	1. Only for undergraduates courses 2. The student must not be bonded to or holding any other scholarships or receiving financial assistance from any other institutions or organizations
Scholarship Value	Based on the difference of the actual tuition fees and total guaranteed Survival Benefit of Great EduScholar. The total guaranteed Survival Benefit will be split based on the number of academic years and will be deducted from the tuition fees per year to calculate the Scholarship value per academic year. <u>For example:</u> Sum Assured of Great EduScholar = RM50,000 Total Survival Benefit = 215% of Sum Assured = RM107,500 Actual tuition fees per year = RM100,000 Total academic years = 4 years Hence, Scholarship value per year = RM100,000 - (RM107,500/4) = <u>RM73,125</u> per year Note: the currency exchange rate for the tuition fees will be subject to the prevailing exchange rate.
Tenure	Minimum period required by the University to complete course of study
Bond period upon Graduation	7 years* **In Great Eastern Group of Companies (including overseas)*
Citizenship	Malaysian, Singaporean*, Bruneian* **Singaporean and Bruneian are also eligible since they can purchase Great EduScholar*
Assessments and interviews for scholarship application	Not required.

Notes:

1. The Company will provide Scholarship to the Life Assured provided the policy is inforce.
2. If the policy has matured, the Life Assured will still be eligible to apply for Scholarship within 5 years from the maturity date.
3. Eligibility to apply for Scholarship will be terminated upon occurrence of the following:

a. when the policy is surrendered; or
b. when the policy is converted into a non-participating paid-up assurance or into a non-participating extended term assurance.

4. The Company reserve the rights to discontinue the Scholarship to the Life Assured if the Life Assured changes the undergraduate course during the term of the Scholarship.
5. This benefit is applicable only once in the lifetime of the Life Assured.

j. Internship opportunity

The Company offers internship opportunity to the Life Assured, subject to terms and conditions. Please refer to the attachment below for further details.

Courses	1. Accounting & Finance 2. Actuarial Science 3. Bio Medical 4. Business Administration 5. Decision Science 6. Economics 7. Engineering (Mechanical) 8. Information Technology 9. Insurance Studies 10. Law 11. Mass Communication 12. Marketing 13. Mathematics/Statistics 14. Medicine 15. Operational Research 16. Risk Management
Requirements	1. Good academic results (i.e. CGPA score: 3.0 & above) – subject to the latest education grading methodology 2. First come first serve basis, subject to availability. 3. The student must not be bonded to or holding any other scholarships or receiving financial assistance from any other institutions or organizations
Internship Locations	Great Eastern Group of companies in Malaysia, subject to the Company's decision
Internship job scope	Subject to the Company's decision
Citizenship	Malaysian, Singaporean*, Bruneian* **Singaporean and Bruneian are also eligible since they can purchase Great EduScholar*
Assessments and interviews for internship application	Not required

Notes:

1. The company will offer Internship to the Life Assured provided the policy is inforce.
2. If the policy has matured, the Life Assured will still be eligible to apply for Internship within 5 years from the maturity date.
3. Eligibility to apply for Internship will be terminated upon occurrence of the following:
   a. when the policy is surrendered; or
   b. when the policy is converted into a non-participating paid-up assurance or into a non-participating extended term assurance.

Note: Any Internship and Scholarship application will be handled by Human Resources.

PREMIUM

1. Premium Payment Modes and Modal Factors

(a) Annual, Half Yearly, Quarterly and Monthly.
(b) Standard factors apply for mode other than annual mode.

Mode of premium payments	Factors
Half Yearly	0.5100
Quarterly	0.2575
Monthly	0.0875

2. Premium Payment Method

Cash, GIRO, Banker's Order, cheque and credit card are allowed for all modes of premium payments. However, cash and cheque are not allowed for monthly mode of payment.

3. Premium Payment Term

Plan Code	Maturity age	Premium Payment Term
0418	20	Up to the policy year of age 15 years next birthday
0427	21	Up to the policy year of age 16 years next birthday

Please refer to Table 1 of appendix for further details.

4. Premium Rate

Premium rates are guaranteed.
Please refer to Table 2 of Appendix for the indicative premium rates.

UNDERWRITING

1. Entry Age

Plan Code	Maturity Age (age next birthday)	Entry Age	
		Minimum	Maximum (age next birthday)
0418	20	30 days attained age	7
0427	21		8

2. Policy Term

Up to age 20 or 21 years next birthday (Up to the end of policy anniversary of age 19 or 20 years next birthday)
Please refer to Table 1 of appendix for further details.

3. Sum Assured

Minimum: RM15,000 (with effect from 01 July 2016)
Maximum: No limit, subject to underwriting

4. Increase Sum Assured

An increase in Sum Assured is allowed only within the first policy year. However, it is subject to underwriting. The maximum of the increase in Sum Assured is 100% of the current basic SA. Increase in Sum Assured can take effect only from inception where the difference in premiums paid with interest is called.

5. Decrease Sum Assured

Policyholder may decrease the Sum Assured at anytime, subject to the minimum Sum Assured limits. Decrease in Sum Assured can only take effect from next premium due date.

6. Backdating

Allowed for 1 year only. Only applicable within the range of entry age.
Overdue interest will be charged if backdating is more than 6 months.

7. Underwriting Requirement

For determining the non-medical limits*, the basic sum assured for the endowment plan and any existing policies (basic & life riders) within 2 calendar years will be considered for calculation.

**Kindly refer to the latest non-medical limits table.*

DISCOUNT

1. **Large Sum Assured Discount**

Sum Assured (RM)	Discount per RM 1,000 Sum Assured (RM)
0 – 24,999	0.0
25,000 – 49,999	2.0
50,000 – 99,999	3.0
100,000 – 299,999	3.5
300,000 and above	4.0

2. Non-smoker Discount / Female Discount

Not Applicable

OTHER PRODUCT FEATURES

1. Surrender Value

Due to the requirement to pay Surrender Value = Asset Share of the policy, terminal bonus on surrender may be payable immediately from the point of inception if the Asset Share calculations warrants it.

Surrender value is only payable in the first policy year if the SV is at least RM100. From the second policy year onwards, surrender value is payable regardless of the amount calculated.

2. Partial Surrender

Allowed

3. Policy Loans

Up to 92% of the policy loan cash value; where the latter is defined as the total cash values for this plan excluding terminal bonus. Note that cash values for attaching riders (if any) will also not be taken into account in determining the policy loan cash value.

4. Automatic Premium Loan

After the policy has acquired surrender values, the policy shall not become void for non-payment of renewal premium within 30 days grace period so long as the surrender values are sufficient to advance the premium due.

5. Extended Term Assurance

After the policy has acquired surrender values, the policy may be converted to a non-participating Extended Term Assurance for a reduced policy term with the same basic sum assured payable in the event of death of the life assured during the term covered.

If the surrender values are more than sufficient to provide coverage to the maturity of the original term, the excess amount (if any) shall be refunded in cash at the date of conversion.

TPD benefit, Additional Sum Assured, Accidental Death Benefit, Survival Benefit, Cash Bonus, Terminal Bonus and Maturity Benefit shall cease upon conversion to Extended Term Assurance. Similarly, all attaching riders (if any) shall be terminated.

6. Paid-Up Assurance

After the policy has acquired surrender values, the policy may be converted to a non-participating Paid-Up Assurance with a reduced sum assured payable in the event of death of the life assured or on the Life Assured's survival to maturity date of the policy.

TPD benefit, Additional Sum Assured, Accidental Death Benefit, Survival Benefit, Cash Bonus and Terminal Bonus shall cease upon conversion to Paid-up Assurance. Similarly, all attaching riders (if any) shall be terminated.

7. Replacement of Policy

Applicable, should policyholder with consent to replace the previous policy within 12 months from the new proposal submission, agent's commission on the new policy will be clawed back accordingly.

8. Advance Premium Account

Allowed as per current practice.

9. Free-Look Period

Policyholder is allowed to cancel the policy within 15 days. Under such circumstance, total premium paid minus the expenses incurred for medical examination (if any) will be refunded and commissions will be clawed back accordingly.

10. Nomination

Nomination is not allowed at New Business stage but it is allowed once the policy has vested.

11. Assignment / 3rd Party Policy

Allowed.

12. Reinstatement

Allowed. Endowment policies may be reinstated within 3 years from the lapsed date.

13. Tax Relief

Rules for printing "Education Policy"

- Either Payer Benefit Rider (U8) or Payer Benefit Extra Rider (U96) must be attached to this plan.
- The payer rider term must be the same as the premium payment term of the basic plan.
- This policy must mature between Life Assured's age 14 years next birthday to age 25 years next birthday.

14. Special Revival / Study Loan

Not allowed.

OTHER PRIVILEGES

1. Option to Purchase a New Policy at Maturity (Standard life only)
Standard – Within 30 days before or after the 18th birthday of the Life Assured, the life assured shall be given the option to purchase a new ordinary level sum assured of Whole Life or Endowment policy on the same Life Assured sold by the Company at the option date for an amount of assurance up to the Basic Sum Assured, provided that no claim has been admitted. The premium for this new policy will be at the same class of rating as this Policy based on the attained age of the Life Assured as at the option date, without further evidence of assurability of the Life Assured. The total Sum Assured purchased by the Life Assured for this or similar options on all policies must not be more than RM200,000.

The Life Assured is not allowed to purchase a Living Assurance policy or any other product similar to a Living Assurance policy under this option. In addition, the inclusion of Total and Permanent Disability Benefits, riders or Supplementary Contracts may be allowed for the new policy subject to evidence of assurability satisfactory to the Company is furnished at the time this option is exercised. However, the inclusion of these benefits is at the absolute discretion of the Company.

2. Conversion Privilege
Not applicable

RIDERS

Note:
Premium payment term of the riders may be shorter or the same as the premium payment term of the basic plan.

Waiver and Payer Riders
a. Premium Waiver on CI Rider (U104)
b. Payer Benefit Rider (U8)
c. Payer Benefit Extra Rider (U96)

EXCLUSIONS

The Company will not pay any benefit under this policy as a result of, including the consequences of, any of the following: -

1. Death during the first policy year as a result of suicide. The Company shall refund the premium paid without interest in the event of death, which is a result of suicide within one (1) year from the Risk Commencement Date or from the date of any reinstatement, whichever is the later, while sane or insane;

2. Total and Permanent Disability existed prior to or on the Risk Commencement Date or on the date of any reinstatement, whichever is later.

3. Total and Permanent Disability caused directly or indirectly, by self-inflicted injuries, while sane or insane;

4. Total and Permanent Disability caused by bodily injury sustained as a result of parachuting or sky diving or engaging in aerial flights other than as a crew member or as a fare-paying passenger of a licensed commercial airline operating on a regular scheduled route;

5. Accidental death benefit is not payable if the death of the life assured does not occur within ninety (90) days from the date of accident.

Note: For details of exclusions, kindly refer to the policy contract.

Great EduScholar *(Plan Code: 0418 & 0427)*

APPENDIX

Table 1: Premium Payment Term and Policy Term

Maturity at age 20 years next birthday Plan Code: 0418		
Entry Age Next Birthday	**Premium Payment Term**	**Policy Term**
1	15	19
2	14	18
3	13	17
4	12	16
5	11	15
6	10	14
7	9	13

Maturity at age 21 years next birthday Plan Code: 0427		
Entry Age Next Birthday	**Premium Payment Term**	**Policy Term**
1	16	20
2	15	19
3	14	18
4	13	17
5	12	16
6	11	15
7	10	14
8	9	13

Table 2: Premium Rates (per RM1,000 Sum Assured)

Entry Age Next Birthday	Plan Code: 0418	Plan Code: 0427
	Maturity at age 20 years next birthday	Maturity at age 21 years next birthday
1	147.00	134.00
2	162.00	147.50
3	180.00	162.50
4	201.00	180.50
5	227.00	201.50
6	258.50	228.00
7	285.50	259.50
8		287.00
9		